

HOUSE BILL 1223

By Howell

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 10 and Title 56, relative to studying
reimbursements under policies of health insurers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 10, is amended by adding
the following new section:

(a) The Tennessee advisory commission on intergovernmental relations (TACIR)
shall perform a comprehensive evaluation of:

(1) The process by which health insurers approve or deny coverage or
reimbursement for healthcare benefits under a plan or policy of insurance,
including the criteria used to determine whether to approve or deny such
coverage or reimbursement;

(2) The process for notification of policyholders and healthcare providers
regarding the denial of a claim or reimbursement for such healthcare benefits;

(3) The process for appealing the denial of a claim or reimbursement for
such healthcare benefits, including the process for obtaining a prior authorization,
if required;

(4) The process for recoupment by or reimbursement to a policyholder or
healthcare provider for unpaid claims from a health insurer upon successful
appeal after denial of such claims or reimbursement for healthcare benefits;

(5) The manner in which health insurers must maintain and manage
reserve funds;

(6) The aggregate number of denials of claims for coverage and reimbursement by health insurers on an annual basis for each of the past five (5) calendar years beginning January 1, 2021, including:

(A) The percentage of such denials based on the aggregate number of claims per year; and

(B) The identification of each health insurer that deviates from the aggregate mean by ten percent (10%) or more based on data reported under subdivision (a)(6)(A); and

(7) The manner in which this state and its departments and agencies audit individual health insurers and the frequency thereof.

(b) All appropriate state departments and agencies shall provide assistance to TACIR in connection with the comprehensive evaluation conducted under subsection (a).

(c) On or before January 15, 2026, TACIR shall report its findings and recommendations, including any proposed legislation, regarding the evaluation conducted under subsection (a) to the chairs of the commerce and labor committee of the senate and the committee of the house of representatives having jurisdiction over health insurance matters.

(d) TACIR shall not include in its evaluation under subsection (a) healthcare policies or plans through contracts with the state to provide insurance through the TennCare program or its successor program, codified under title 71, chapter 5, or the CoverKids program or its successor program, codified under title 71, chapter 3, part 11.

(e) As used in this section, "health insurer" means a health insurance entity as that term is defined in § 56-7-109.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.